Memorandum

To:	Halvorsen Urban Partners LLC; Ridgeline Historic Equity
From:	Aldridge Kemp LLP
Date:	May 10, 2024
Re:	Federal and Virginia historic tax credit matters - Calder Works

Facts relied upon

3. We have relied, without independent verification, upon Budget Revision 4 dated June 28, 2024, the Part 1 and Part 2 determinations, the draft master lease and operating agreement circulated on May 2, 2024, and the Sponsor's representation that physical work on the Buildings commenced under a notice to proceed issued September 5, 2023.

4. The Virginia historic rehabilitation tax credit equals twenty-five percent of eligible expenses and is allocated to partners or transferred in accordance with the procedures of the Department of Historic Resources. The state credit is subject to its own certification requirements and timing, which are independent of the federal Part 3 determination.

I. Summary of conclusions

1. Only Buildings A and B are certified historic structures; amounts allocable to Building C are not qualified rehabilitation expenditures, and the same is true of the parking deck as a site improvement.

2. The federal rehabilitation credit is not a transferable credit; monetization should proceed through a lease pass-through in which the investor is admitted to the lessee.

3. Each Building is placed in service separately, and the credit for each is taken ratably over a five-year period beginning with its own placed-in-service year.

4. On the facts provided to us, the general twenty-four-month measuring period, rather than the sixty-month phased period, governs the substantial rehabilitation test.

Limitations

5. This memorandum is limited to the federal income tax and Virginia tax matters expressly addressed. It is based on the Code, regulations, rulings and judicial decisions in effect on the date hereof, all of which are subject to change, possibly with retroactive effect. We undertake no obligation to update this memorandum for subsequent changes in law or fact.

6. Where a rehabilitation is reasonably expected to be completed in phases set forth in written architectural plans and specifications that are completed before the physical work begins, the taxpayer may measure substantial rehabilitation over a sixty-month period. Absent such plans, the general twenty-four-month period applies, and the selection of that period is irrevocable once a return is filed.

II.A Transferability

1. Section 6418 permits an eligible taxpayer to elect to transfer all or a portion of an eligible credit, which is defined by cross-reference to an enumerated list in Section 6418(f)(1). The rehabilitation credit determined under Section 47 does not appear in that list. It follows that the federal credit generated by the Buildings cannot be transferred by election to an unrelated purchaser, and any description of such a transfer in offering or investor materials is incorrect. The credit may be shifted to a lessee only by an election under Section 50(d), as discussed in Part III.

2. We recommend that every statement in presentations, summaries or correspondence describing a Section 6418 sale of the federal credit be withdrawn and replaced with a description of the lease pass-through.

Recapture

7. If a building is disposed of, or ceases to be investment credit property, within five years after it is placed in service, a portion of the credit is recaptured. The recapture percentage declines by twenty percentage points for each full year the property is held. A transfer of an interest in the lessee partnership can also cause recapture in a pass-through structure.

8. Under the election, the lessee is treated as having acquired the property for purposes of the credit in an amount equal to the qualified rehabilitation expenditures of the lessor, and the lessee, rather than the lessor, is the taxpayer entitled to the credit. The election must be made on a statement filed with the lessor's return and a copy furnished to the lessee.

II.B Building C and site improvements

1. Because Part 1 determined Building C to be non-contributing, Building C is not a certified historic structure, and expenditures allocable to it are not qualified rehabilitation expenditures. Expenditures for the parking deck are likewise excluded as site improvements not forming part of a building. These exclusions should be reflected in every computation of the credit base, including any schedule of projected credits attached to the investor documents.

Economic Substance

9. The Historic Boardwalk decision and Revenue Procedure 2014-12 provide a safe harbor for historic credit partnerships that satisfy specified requirements concerning the investor's minimum interest, unconditional contributions, guaranties and put and call rights. We recommend that the transaction documents be conformed to the safe harbor.

10. A qualified rehabilitated building must be substantially rehabilitated, placed in service before the beginning of the rehabilitation, and, in the case of a certified historic structure, rehabilitated in a manner certified by the Secretary of the Interior as consistent with the historic character of the property or district. Each separate building must satisfy these requirements independently.

II.C Placed in service

1. The rehabilitation credit is determined building by building. Each Building is placed in service when it is ready and available for its intended use, which ordinarily coincides with issuance of a certificate of occupancy, and the credit for each Building is allowed ratably over the five taxable years beginning with the year in which that Building is placed in service.

2. The Sponsor anticipates that Building A will be placed in service on or about September 30, 2025 and Building B within the following quarter; any slippage of Building B into 2026 would defer the start of its five-year credit period accordingly.

Background

11. The Sponsor proposes to rehabilitate the former Calder Shoe Company works for residential use. The transaction contemplates a federal historic tax credit investment by Ridgeline Historic Equity Fund IV LLC and a sale of Virginia historic rehabilitation tax credits to a third-party purchaser. This section summarizes the facts on which our analysis relies, each of which has been provided to us by the Sponsor and has not been independently verified.

12. Investor agreements commonly reduce the investor's capital contribution when credits finally determined fall short of projections. Care should be taken that the projection against which the adjuster is measured reflects the corrected credit basis; otherwise an adjuster may be triggered even though pricing already reflects the lower basis.

II.D Measuring period

1. The sixty-month measuring period is available only where the rehabilitation may reasonably be expected to be completed in phases set forth in written architectural plans and specifications that are completed before the physical work on the rehabilitation begins. The Sponsor has advised that physical work began under a notice to proceed issued September 5, 2023. We have not been furnished with plans and specifications for all phases bearing a date earlier than that notice. Absent such plans, the twenty-four-month period applies, and the CPA should be so instructed before the cost certification is finalized.

2. If plans pre-dating the start of physical work exist, they should be delivered to us and to the CPA, together with evidence of the date on which they were completed.

Qualified Rehabilitation Expenditures

13. Qualified rehabilitation expenditures include amounts chargeable to capital account for nonresidential real property or residential rental property in connection with the rehabilitation of a qualified rehabilitated building. They do not include the cost of acquiring the building, costs of enlargement, or costs allocable to facilities such as parking lots, landscaping and site improvements that are not part of the building.

14. For the lease pass-through to be respected, the master lease must be a true lease for federal income tax purposes. Factors relevant to this determination include the term of the lease relative to the useful life of the property, the presence of fixed-price purchase options, the allocation of risks of loss, and whether the lessee bears the burdens and benefits of ownership.

II.E Amount

1. Based on Development Budget Revision 4, and assuming that the qualified soft costs reflected therein are allocable to Buildings A and B in proportion to hard costs, we estimate that qualified rehabilitation expenditures for Buildings A and B will total approximately $36.5 million.

2. At the statutory rate of twenty percent, the aggregate federal credit would approximate $7.3 million, divided between the Buildings in proportion to their respective expenditures.

Basis Adjustments

15. The basis of a building is generally reduced by the amount of the rehabilitation credit. In a lease pass-through structure, the lessor does not reduce basis; instead, the lessee includes an amount in income ratably over the shortest recovery period applicable to the property. The economic consequences of this inclusion should be reflected in the investor's pricing.

16. Credits are generally allocated among partners in accordance with their interests in partnership profits for the year in which the building is placed in service. Allocations that lack substantial economic effect may be reallocated. We recommend that the operating agreement provide expressly for the allocation of credits and for the treatment of any credit adjuster payments.

Lease pass-through mechanics

17. Under the election, the lessee is treated as having acquired the property for purposes of the credit in an amount equal to the qualified rehabilitation expenditures of the lessor, and the lessee, rather than the lessor, is the taxpayer entitled to the credit. The election must be made on a statement filed with the lessor's return and a copy furnished to the lessee.

18. If a building is disposed of, or ceases to be investment credit property, within five years after it is placed in service, a portion of the credit is recaptured. The recapture percentage declines by twenty percentage points for each full year the property is held. A transfer of an interest in the lessee partnership can also cause recapture in a pass-through structure.

Limitations

19. This memorandum is limited to the federal income tax and Virginia tax matters expressly addressed. It is based on the Code, regulations, rulings and judicial decisions in effect on the date hereof, all of which are subject to change, possibly with retroactive effect. We undertake no obligation to update this memorandum for subsequent changes in law or fact.

20. Investor agreements commonly reduce the investor's capital contribution when credits finally determined fall short of projections. Care should be taken that the projection against which the adjuster is measured reflects the corrected credit basis; otherwise an adjuster may be triggered even though pricing already reflects the lower basis.

State Credit

21. The Virginia historic rehabilitation tax credit equals twenty-five percent of eligible expenses and is allocated to partners or transferred in accordance with the procedures of the Department of Historic Resources. The state credit is subject to its own certification requirements and timing, which are independent of the federal Part 3 determination.

22. The Sponsor proposes to rehabilitate the former Calder Shoe Company works for residential use. The transaction contemplates a federal historic tax credit investment by Ridgeline Historic Equity Fund IV LLC and a sale of Virginia historic rehabilitation tax credits to a third-party purchaser. This section summarizes the facts on which our analysis relies, each of which has been provided to us by the Sponsor and has not been independently verified.

Facts relied upon

23. We have relied, without independent verification, upon Budget Revision 4 dated June 28, 2024, the Part 1 and Part 2 determinations, the draft master lease and operating agreement circulated on May 2, 2024, and the Sponsor's representation that physical work on the Buildings commenced under a notice to proceed issued September 5, 2023.

24. Qualified rehabilitation expenditures include amounts chargeable to capital account for nonresidential real property or residential rental property in connection with the rehabilitation of a qualified rehabilitated building. They do not include the cost of acquiring the building, costs of enlargement, or costs allocable to facilities such as parking lots, landscaping and site improvements that are not part of the building.

Phased rehabilitation

25. Where a rehabilitation is reasonably expected to be completed in phases set forth in written architectural plans and specifications that are completed before the physical work begins, the taxpayer may measure substantial rehabilitation over a sixty-month period. Absent such plans, the general twenty-four-month period applies, and the selection of that period is irrevocable once a return is filed.

26. For the lease pass-through to be respected, the master lease must be a true lease for federal income tax purposes. Factors relevant to this determination include the term of the lease relative to the useful life of the property, the presence of fixed-price purchase options, the allocation of risks of loss, and whether the lessee bears the burdens and benefits of ownership.

Economic Substance

27. The Historic Boardwalk decision and Revenue Procedure 2014-12 provide a safe harbor for historic credit partnerships that satisfy specified requirements concerning the investor's minimum interest, unconditional contributions, guaranties and put and call rights. We recommend that the transaction documents be conformed to the safe harbor.

28. The basis of a building is generally reduced by the amount of the rehabilitation credit. In a lease pass-through structure, the lessor does not reduce basis; instead, the lessee includes an amount in income ratably over the shortest recovery period applicable to the property. The economic consequences of this inclusion should be reflected in the investor's pricing.

Partnership Allocations

29. Credits are generally allocated among partners in accordance with their interests in partnership profits for the year in which the building is placed in service. Allocations that lack substantial economic effect may be reallocated. We recommend that the operating agreement provide expressly for the allocation of credits and for the treatment of any credit adjuster payments.

30. A qualified rehabilitated building must be substantially rehabilitated, placed in service before the beginning of the rehabilitation, and, in the case of a certified historic structure, rehabilitated in a manner certified by the Secretary of the Interior as consistent with the historic character of the property or district. Each separate building must satisfy these requirements independently.

Basis Adjustments

31. The basis of a building is generally reduced by the amount of the rehabilitation credit. In a lease pass-through structure, the lessor does not reduce basis; instead, the lessee includes an amount in income ratably over the shortest recovery period applicable to the property. The economic consequences of this inclusion should be reflected in the investor's pricing.

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